

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Investors dialed up bets** the Fed will cut interest rates in September, lifting the S&P 500 and Nasdaq to record closing highs for the second straight day. The S&P, Nasdaq and Dow rose 0.3%, 0.1% and 1%, respectively. **B1**
- ◆ **Shares of Bullish soared** 84% in the cryptocurrency exchange's IPO, highlighting the challenge of pricing an IPO in today's exuberant market. **B1**
- ◆ **Tech startups** are dusting off U.S. hiring plans after Congress revived a popular tax deduction. **B1**
- ◆ **GE Appliances plans** to invest \$3 billion to expand and modernize its U.S. factories over the next five years, helping to blunt the effects of tariffs by reshoring some work. **B1**
- ◆ **Amazon.com plans** a broad expansion of its grocery-delivery business. **B2**
- ◆ **Air Canada received** notice that its flight attendants are preparing for a strike as early as Saturday after union contract negotiations broke down. **B2**
- ◆ **Gildan Activewear** will acquire Hanesbrands for \$2.2 billion, combining two makers of basic apparel as the industry is buffeted by tariffs. **B3**
- ◆ **Porsche will target** defense-sector investments after the holding company cut its full-year earnings guidance. **B3**
- ◆ **Tencent reported** faster-than-expected profit growth as its AI advancements led to stronger earnings from game and marketing businesses. **B4**
- ◆ **Global oil markets** are poised for a larger surplus than previously expected this year, the IEA said. **B9**

World-Wide

- ◆ **Trump agreed** with European leaders including Ukraine's President Zelensky to red lines for the coming talks with Russia's Putin in Alaska and said he hoped to follow up quickly with a trilateral summit with the two warring leaders. **A1, A8**
- ◆ **New York Attorney General** Letitia James sued Zelle's owner for allegedly failing to protect users from fraud, reviving claims the Trump administration had abandoned. **A2**
- ◆ **The Trump administration** is facing pressure over the conditions at immigration detention centers, including at the Florida facility known as Alligator Alcatraz. **A3**
- ◆ **Tesla is taking** early steps to bring its robotaxis to New York just weeks after competitor Waymo announced plans to test autonomous vehicles in the city. **A6**
- ◆ **Trump said** he would host the Kennedy Center Honors, announcing that this year's recipients will include country singer George Strait, actor Sylvester Stallone and rock band KISS. **A6**
- ◆ **Tension is growing** between Israeli Prime Minister Benjamin Netanyahu's government and the head of the country's military over a plan to expand the war in Gaza after 22 months of fighting. **A7**
- ◆ **Israeli gunfire killed** at least 25 people seeking aid in Gaza, health officials and witnesses said. **A7**
- ◆ **A boat carrying** nearly 100 migrants capsized off the Italian island of Lampedusa, killing at least 26 people and leaving about a dozen missing. **A7**

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JOHN MACDOUGALL/EPHRAIM POOL

German Chancellor Friedrich Merz greeted Ukrainian President Volodymyr Zelensky in Berlin on Wednesday before they joined a video conference with European leaders and President Trump ahead of Trump's summit with Russia's Vladimir Putin on Friday.

Once-Nimble Ukrainian Army Slips Into Soviet-Era Rigidity

Divisions emerge between military's front-line fighters and top brass

SUMY, Ukraine—In the first year of Russia's all-out invasion, Ukraine's defenders repeatedly outmaneuvered a

By Marcus Walker, Ian Lovett and Ievgeniia Sivorka

lumbering Russian army, relying on improvisation and the judgment of men in the field. Three years on, Ukraine's

military has slipped back into a more rigid, top-down mode of fighting with roots in the Soviet era, creating mounting frustration about unnecessary casualties while hurting civilian morale and army recruitment. Without overhauls, the Soviet-style habits could undermine Ukraine's ability to sustain its defense against Russia, which shows no sign of relenting in its quest to conquer the country.

Ukrainian officers and infantrymen complain of a centralized command culture that often punishes initiative and wastes men's lives. Generals order repetitive frontal as-

saults that have little hope of success, and deny requests from beleaguered units to carry out tactical retreats and save their men. Casualties accumulate on operations with little strategic value.

"Our army is holding mainly thanks to the initiative of people up to the level of battalion commander," said Maj. Oleksiy Pasternak, a veteran officer who argues the higher echelons need urgent change.

It isn't holding everywhere. In recent days, groups of Russian troops have pierced Ukrainian lines at a critical spot in the Donetsk region. Kyiv is scrambling to stanch

the advance.

Russia's military suffers from far greater problems of an iron-fisted hierarchy that treats men as disposable. Its inefficiency helps explain why Russia has struggled to turn its advantages in numbers into a decisive breakthrough so far, instead inching forward at great cost for the past two years.

But the issue is more critical for Ukraine, which can't replace its losses as easily.

Russian President Vladimir Putin has made that central to

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◆ **Meeting puts Zelensky in precarious spot..... A8**

Trump, Europe Agree on Ukraine Red Lines

President tells peers he will aim to clinch cease-fire in talks with Putin on Friday

By BOJAN PANCEVSKI

BERLIN—President Trump agreed with European leaders including President Volodymyr Zelensky of Ukraine to red lines for the coming talks with Russian President Vladimir Putin in Alaska and said he hoped to follow up quickly with a trilateral summit with the two warring leaders.

Trump also threatened Putin with "very severe consequences" if the Russian president refused a cease-fire in their coming meeting.

The Wednesday videoconference between Trump and European leaders was very constructive, participants said after the call.

Trump told his European peers that he wouldn't negotiate territorial issues, saying Ukraine must discuss that directly with Russia, Chancellor Friedrich Merz of Germany, who initiated the meeting, said.

The president had made it clear that any security guarantees offered to Ukraine as part of a potential peace deal with Russia wouldn't involve the North Atlantic Treaty Organization, but he accepted that other guarantees would be given jointly by the U.S. and Europe, said President Emmanuel Macron of France, who attended the meeting. Macron pointed to a potentially significant change in Trump's position on the issue.

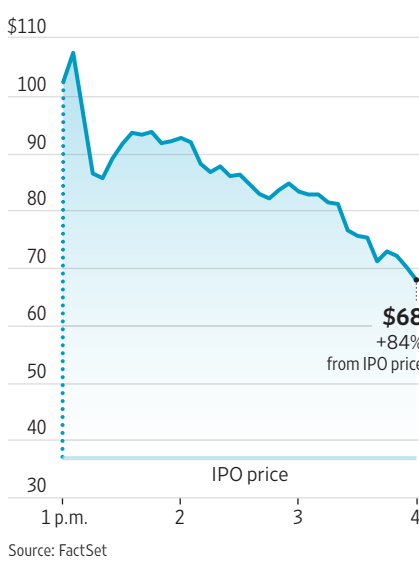
"President Trump was very

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Bullish Lives Up To Name

Shares of Bullish rose 84% in the cryptocurrency exchange's initial public offering Wednesday, highlighting the challenge of pricing an IPO in today's exuberant market. Bullish priced its IPO at \$37, above its already increased price range, raising roughly \$1.1 billion. **B1**

Bullish share price on first day of trading Wednesday



OpenAI's Rocky GPT-5 Rollout Shows Strain to Keep AI Lead

By ANN-MARIE ALCÁNTARA AND BERBER JIN

OpenAI's newest AI model, GPT-5, was supposed to cement the startup's status as the undisputed leader in the AI race. Instead, it had a tumultuous public launch, frustrating users and prompting Chief Executive Officer Sam Altman to respond.

Users flooded social media with examples of how the chatbot failed to answer simple math questions or accurately draw a map of North America. Others criticized its colder tone,

reminiscing about older models that OpenAI initially killed off. A new limit of 200 questions a week rankled devotees.

Altman on Tuesday promised to imbue GPT-5 with a "warmer personality," restored a popular model after OpenAI declared it to be obsolete and introduced the capability for users to decide which kind of query they want to make. The company has learned how much users expect customization, he wrote in a post on X.

Computing capacity has been a concern during the roll-

out, prompting the company to re-evaluate which users are priorities. The turbulence shows the challenge OpenAI has in selling 700 million active weekly users on new models while being constantly short on computing power, which is expensive and scarce.

The rollout comes at a delicate moment for OpenAI, which is struggling to keep its lead among rivals who are aggressive.

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◆ **ChatGPT fuels delusional spirals..... A10**

INSIDE



PERSONAL JOURNAL
Pairings of alcoholic and nonalcoholic beverages take off in fine-dining restaurants. **A12**



BUSINESS & FINANCE
Walmart's newest employee benefit: a discount in the grocery aisles. **B1**

Latest in Silicon Valley: Embryo IQ Screening

By ZUSHA ELINSON

BERKELEY, Calif.—Tsvi Benson-Tilsen, a mathematician, spent seven years researching how to keep an advanced form of artificial intelligence from destroying humanity before he concluded that stopping it wasn't possible—at least anytime soon.

Now, he's turned his considerable brainpower to promoting cutting-edge technology to create smarter humans who will be up to the task of saving us all.

"My intuition is it's one of our best hopes," said Benson-Tilsen, co-founder of the Berkeley Genomics Project, a nonprofit supporting the new field. This isn't science fiction. It is Silicon Valley, where interest in breeding smarter babies is peaking.

Parents here are paying up to \$50,000 for new genetic-testing services that include promises to screen embryos for IQ. Tech futurists such as Elon Musk are urging the in-

tellectually gifted to multiply, while professional matchmakers are setting up tech execs with brilliant partners partly to get brilliant offspring.

"Right now I have one, two, three tech CEOs and all of them prefer Ivy League," said Jennifer Donnelly, a high-end matchmaker who charges up to \$500,000.

The fascination with what some call "genetic optimization" reflects deeper Silicon Valley beliefs about merit and success. "I think they have a perception that they are smart and they are accomplished, and they deserve to be where they are because they have 'good genes,'" said Sasha Gusev, a statistical geneticist at Harvard Medical School. "Now they have a tool where they think that they can do the same thing in their kids as well, right?"

The growing IQ fetish is sparking debate, with bioethicists raising alarms about the new genetic-screening services.

"Is it fair? This is some-

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